

TABLE 1
A COMPARISON BETWEEN THE TWO PHASES OF THE INDIA SEMICONDUCTOR MISSION (ISM)

Aspect	ISM 1.0	ISM 2.0
Launch	Approved in December 2021 to build foundational capabilities	Announced in the 2026 Budget to deepen and broaden the ecosystem
Objective	To create a semiconductor and display ecosystem, and reduce imports	To establish end-to-end capabilities: equipment, IP, materials, supply chains
Focus Areas	Fabs (semiconductor and display), compound semiconductors, ATMP/OSAT, chip design incentives (DLI)	Domestic equipment and materials, stronger supply chains, full-stack IP/design, research and training centres
Budget	₹760 billion (\$10 billion) incentives for fabs, ATMP/OSAT, design	Initial ~₹10 billion FY26-27; broader provisions up to ~₹1.25 trillion (reports)
Incentives	Up to 50% support for fabs/packaging; DLI for design startups	Expanded to equipment makers, materials producers, capital goods, and full-stack IP
Ecosystem Goal	Build domestic fabrication, assembly, packaging, and testing	Consolidate ecosystem, strengthen resilience, and integrate globally
Strategic Aim	Reduce imports, support local manufacturing, stimulate design	Advance self-reliance, target sub-3nm tech, grow supply chains, and workforce development
Skills and R&D	DLI incentives, infrastructure for startups/MSMEs	Industry-led research centres, training programmes for a skilled workforce
Supply Chain	Limited upstream focus	Explicit emphasis on raw materials, chemicals, gases, wafers, and equipment
Design and IP	Support for design startups via DLI	Push for full-stack Indian design IP and a larger ecosystem

development, ISM 2.0 widens the mandate to domestic production of semiconductor equipment and materials, alongside full-stack Indian intellectual property. Industry-led research and training centres will support both technology advancement and skills creation.

The focus shifts from capacity alone to depth across the value chain, aligning with pre-Budget industry expectations. Hareesh Chandrasekar, CEO and Co-founder of AGNIT Semiconductors, described Budget 2026 as an opportunity to move ‘from intent to impact,’ adding that funding beyond the earlier \$10-billion outlay could catalyse the next phase of semiconductor growth.

A ₹400 billion boost for ECMS

The Budget also strengthens component-level localisation. The Electronics Components Manufacturing Scheme (ECMS), launched in April 2025 with an outlay of ₹229.19 billion, has already attracted investment commitments worth twice its original target, according to the Finance Minister.

Building on this momentum, the government has proposed increasing the outlay to ₹400 billion.

Industry participants welcomed

the move, noting it should improve domestic availability of semiconductor-linked components, reduce import dependence, and accelerate scaling across EMS, PCB assembly, box build, and system integration operations. Aimtron Electronics, which acquired a US-based ESDM firm earlier this year, highlighted these benefits.

To deepen value addition in consumer electronics, basic customs duty has been exempted on specified microwave-oven parts. Some concessions will be withdrawn from April 1, 2026, including duties on undiffused silicon wafers and selected film and television equipment imports, signalling a gradual tightening as domestic capability improves.

Record boost for defence

Beyond electronics, defence spending is targeted to reach a record ₹7.85 trillion, a 15.19% year-on-year increase. This equals 2% of GDP and 14.67% of total central expenditure, the largest share among ministries.

Of this, ₹2.19 trillion is earmarked for capital expenditure, with ₹1.85 trillion for acquisitions including fighter aircraft, submarines, UAVs, drones, and specialist

vehicles. Seventy-five per cent of capital acquisition spending is reserved for domestic procurement, reinforcing self-reliance amid geopolitical tensions.

The rise follows emergency procurement during the 2025 India-Pakistan tensions. Contracts worth ₹2.10 trillion were concluded by December 2025, with approvals exceeding ₹3.5 trillion.

For logistics and data centres

To support electronics manufacturing logistics, a safe-harbour profit margin of 2% of invoice value has been extended to non-resident warehousing in bonded facilities. This yields an effective tax rate of around 0.7%, improving competitiveness and enabling just-in-time production models.

Meanwhile, data centres are recognised as critical digital infrastructure. The Budget announces a tax holiday until 2047 for foreign companies providing global cloud services through India-based facilities, provided Indian customers are served via domestic resellers.

A 15% safe-harbour margin has also been introduced for related-party service providers. Together, these measures are expected to